

CFA Institute Research Challenge

Local Challenge hosted by:
CFA Calgary
Team G

The CFA Institute Research Challenge is a global competition that tests the equity research and valuation, investment report writing, and presentation skills of university students. The following report was prepared by a team of university students as part of this annual educational initiative and should not be considered a professional report.

Disclosures:

Ownership and material conflicts of interest

The author(s), or a member of their household, of this report does not hold a financial interest in the securities of this company.

The author(s), or a member of their household, of this report does not know of the existence of any conflicts of interest that might bias the content or publication of this report.

Receipt of compensation

Compensation of the author(s) of this report is not based on investment banking revenue.

Position as an officer or director

The author(s), or a member of their household, does not serve as an officer, director, or advisory board member of the subject company.

Marketing making

The author(s) does not act as a market maker in the subject company's securities.

Disclaimer

The information set forth herein has been obtained or derived from sources generally available to the public and believed by the author(s) to be reliable, but the author(s) does not make any representation or warranty, express or implied, as to its accuracy or completeness. The information is not intended to be used as the basis of any investment decisions by any person or entity. This information does not constitute investment advice, nor is it an offer or a solicitation of an offer to buy or sell any security. This report should not be considered to be a recommendation by any individual affiliated with CFA Society Calgary, CFA Institute, or the CFA Institute Research Challenge with regard to this company's stock.

Tourmaline Oil Corp. (TSX: TOU)
Industry: Oil & Gas Exploration & Production

Buy Recommendation

Target Price: $65.47 (12.2% Upside)

Current Price as of Jan 8, 2026: $58.35

Executive Summary

We initiate coverage on Tourmaline Oil with a Buy recommendation and a 12-month target price of $65.47, derived from a blended valuation framework incorporating both a net asset value (NAV) analysis and relative valuation. This target price implies approximately a 12.2% upside from the closing share price of $58.35 as of January 8, 2026.

Company Description

TOU is Canada's largest natural gas producer, being focused on the acquisition, development, and production of natural gas, oil, and natural gas liquids. Its core operations are concentrated in the Alberta Deep Basin, the Montney formation in Northeast British Columbia, and the Peace River High Triassic oil complex, supported by significant owned midstream infrastructure. Headquartered in Calgary, TOU leverages scale, operational efficiency, and low emissions intensity to generate strong free cash flow and capital returns across commodity cycles.

Investment Thesis Highlights

From valuing TOU using a combination of a net asset value model (NAV), and a relative valuation, we believe it represents a compelling investment opportunity due to:

Thesis #1: Advancing Core Asset Growth Through Strategic Investment

TOU is concentrating capital in its highest return assets within the NEBC Montney and Alberta Deep Basin, where scale, owned infrastructure, and vertical integration support industry leading margins. These core assets offer long reserve life and a deep inventory of high quality drilling locations, enabling consistent production growth while maintaining capital efficiency. Management's willingness to rotate out of lower return assets and reinvest in core complexes reflects disciplined capital allocation focused on long term value creation. As a result, TOU is positioned to grow production, expand free cash flow, and sustain strong returns across commodity cycles.

Thesis #2: TOU's Cost Leadership and Capital Allocation Advantage

TOU benefits from industry leading capital efficiency driven by low drilling and completion costs, geographic concentration, and scale across its core operating areas. Ownership of processing and transportation infrastructure allows the company to internalize costs, enhance operating flexibility, and protect margins during periods of pricing volatility. Direct exposure to international gas markets through long term LNG supply agreements further improves realized pricing and margin durability. Combined with a disciplined approach to capital allocation and a focus on per share returns, this cost leadership underpins resilient free cash flow generation and supports consistent shareholder returns.

Thesis #3: TOU is well positioned to capitalize on the growth of Western Canadian gas consumption

TOU is well positioned to benefit from structurally rising demand for Western Canadian natural gas driven by global LNG expansion and increasing regional power requirements. As LNG export capacity grows and Canadian export volumes increase, tightening basis differentials are expected to support improved realized pricing. At the same time, Alberta's emergence as a hub for gas powered data and industrial infrastructure is driving incremental local demand. By strategically timing production growth in the NEBC Montney, Tourmaline is aligning its supply with these demand trends, supporting stronger margins and long term cash flow growth.

Figure 1: Company Data

Last Close	C$59.55
Market Cap	C$23.124B
Shares Outstanding	387M
52-week High	C$70.83
52-week Low	C$55.40

Source: Yahoo Finance

Figure 2: Revenue vs Earnings (Billions)



Figure 3: Select Financial Data

Ratios			
Debt/ Equity	FWD Dividend Yield	P/E (TTM)	EPS (TTM)
10.85%	3.36%	17.01	3.50

Source: Yahoo Finance

Figure 4: TOU 5-year Stock Chart



Source: Yahoo Finance

Business Overview

Founded in 2008 and headquartered in Calgary, Alberta, TOU is the largest natural gas and natural gas liquids (NGL) producer in Canada, and one of the largest natural gas-focused producers in North America. Through various acquisitions and exploration efforts, TOU has achieved industry-leading scale and operational efficiency. The company's land position provides a massive reserve base and a multi-decade drilling inventory, while its integrated midstream infrastructure serves as a primary driver for margin expansion.

Long-Term E&P Growth Areas

TOU focuses their E&P program in three core areas. The Alberta Deep Basin acts as the company's foundational cash engine, producing approximately 320,000 boe/d. Capital allocation here has shifted from aggressive expansion toward maintenance, targeting modest 1–2% annual growth to maximize free cash flow. Conversely, the NEBC Montney represents the primary growth engine. It currently matches the Deep Basin's production at 320,000 boe/d, and holds the company's largest, most profitable reserves. The final core area, the Peace River High Triassic Oil Complex, makes up a smaller portion of the company's business and provides a source of high-margin light oil and liquids-rich natural gas, however, TOU does not have major plans to expand this area, with management currently evaluating a potential divestiture to further concentrate capital on higher-margin opportunities.

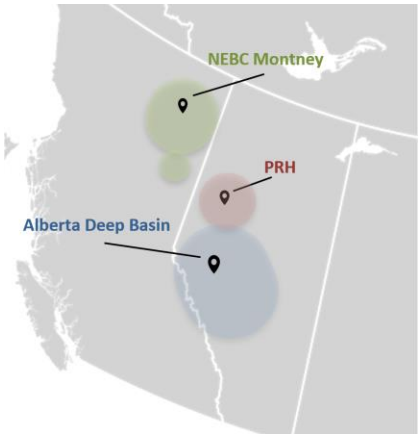
Leader in efficiency and midstream operations

As the 4th largest Canadian gas processing midstream operator, TOU stands out from its peers in terms of operational and capital efficiency. The Company has a working interest in 34 gas plants (19 of which are 100% owned) and operates 15500km of pipeline. This allows the company to process 3.3 bcf/d of gas internally, capturing margins that would otherwise go to third parties. As a result, TOU preserves over $400 million in cash flow each year by owning and operating its midstream infrastructure.

Price Exposure and Target Markets

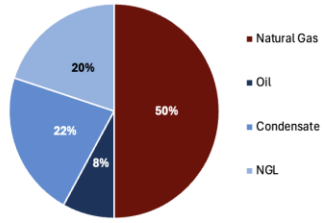
To succeed in the Canadian natural gas industry, producers need to limit exposure to local pricing because Canadian hubs generally trade at a significant discount to other markets. TOU manages this risk in several ways. While its core sales are in Alberta and priced off AECO or Station 2, TOU also supplies significant volumes into U.S. markets, like California. Supported by an experienced marketing team and its investment-grade credit profile, TOU can secure transportation and contracts that move gas to higher-value markets. This has resulted in direct exposure to global LNG benchmarks. Two contracts currently in place provide roughly 140,000 MMBtu/d and 50,000 MMBtu/d linked to JKM and TTF pricing, respectively, with many additional agreements expected over the next five years (Appendix 4). In addition, TOU manages Canadian price volatility through active hedging (financial derivatives) and supply control. For example, amid weaker pricing in 2025 and expectations of stronger pricing ahead (supported by new Canadian LNG export projects), TOU directed most production growth to non-Canadian markets. During the third quarter of 2025, the company injected approximately 1,300 boe/d into storage, creating flexibility to sell those volumes later when local pricing is more favorable.

Figure 5: Operating Areas



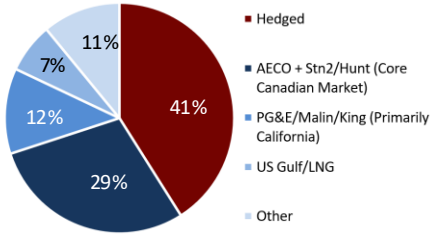
Source: Company Filings

Figure 6: 2024 Product Revenue Mix



Source: Company Filings

Figure 7: 2025 Pricing Exposure



Source: Company Filings

Industry Overview

Canada is one of the world's largest natural gas producers, with average production of 19.2 Bcf/d, primarily concentrated in the Western Canadian Sedimentary Basin (WCSB). The industry spans upstream production, midstream processing and transportation, and downstream distribution. TOU operates mainly in upstream production with significant midstream integration. Domestic supply exceeds Canadian demand, making export access critical for long-term growth. Historically, exports have been U.S.-focused, but new LNG infrastructure is enabling Canadian producers to access higher-priced global markets, particularly in Asia.

Current Environment and Regulation

The Canadian natural gas industry faced significant headwinds in 2024–2025, including weak prices, oversupply, constrained takeaway capacity, and rising regulatory pressure. Despite low pricing, production growth persisted, leading to elevated inventories and depressed AECO benchmarks. Regulatory tightening remains a structural challenge that producers must be able to navigate. Canada's cap-and-trade framework and methane reduction targets increase compliance costs but do not cap production volumes. As a result, scale, operational efficiency, and emissions intensity are becoming key competitive differentiators rather than absolute production levels.

LNG Canada: The development of LNG Canada, a large LNG export terminal in Kitimat, BC, will make Canada a major LNG exporter for the first time. Operational since June 2025, the project has initial capacity of 14 million tonnes annually. After 2026, a second phase will expand capacity, doubling production by 2029. The project is expected to cut shipping times to Asia by 50% and will source feed gas primarily from the Montney formation, where TOU has a major position. Western Canadian producers are likely to see higher average prices over the next 2–3 years and improved access to global markets, reducing reliance on U.S. pipeline demand.

Demand Drivers

Decarbonization: As carbon costs rise, companies are increasingly seeking cleaner energy alternatives, supporting long-term demand for natural gas and LNG. With over 145 countries pursuing net-zero targets, LNG demand remains resilient. In Canada, federal tax credits and funding are lowering the cost of capital for decarbonization projects, favoring LNG producers that can innovate in emissions-reduction technologies.

Industry Overview (continued)

Global Consumption: Historically reliant on the U.S. for LNG exports, Canada now has growing opportunities to diversify into international markets. Global LNG demand is projected to rise by 60% by 2040, driven largely by Asia. China remains the world's largest LNG importer, while India has seen strong demand despite higher prices and expects natural gas consumption to grow 60% over the next five years. Over the next 10–15 years, South and Southeast Asia are expected to become the primary drivers of LNG demand.

Geopolitical Stability: Amid evolving climate policies and geopolitical instability, Canada is positioned to emerge as a dominant global energy supplier. Global events such as the Russia-Ukrainian war, U.S.-China trade tensions, and U.S. tariff uncertainty have created opportunities for Canada to supply stable, reliable LNG internationally. Trade tensions in the United States are allowing Canadian exporters to increase market access to Asia, which was previously dominated by the U.S. markets. Although U.S. producers captured 90% of European demand in 2023, ongoing U.S. trade uncertainty opens a window for Canada to leverage its reliability and expand LNG exports to Europe.

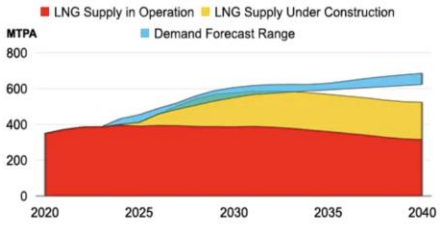
Data Center Expansion: As Canada emerges as a digital infrastructure hub, rapid data center expansion is increasing domestic demand for natural gas. Coal and natural gas are expected to meet 40% of additional electricity demand until 2030. As Artificial Intelligence is set to experience rapid growth in the near-term, this serves as a catalyst for Canadian energy producers. However, natural gas demand is expected to plateau beyond 2030 with the growing popularity of nuclear energy, and once SMRs are commissioned in North America.

Figure 9: LNG Imports India



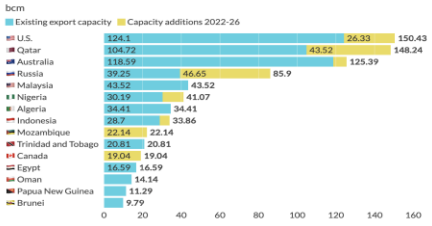
Source: EnergyNow

Figure 10: Global LNG Demand (2020-2040)



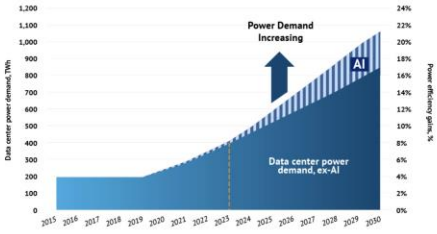
Source: Shell PLC Calculations

Figure 11: Global LNG Capacity (2022-2026)



Source: GIIGNL

Figure 12: Data Center Demand



Source: Cisco, IEA, Goldman Sachs Investment Research

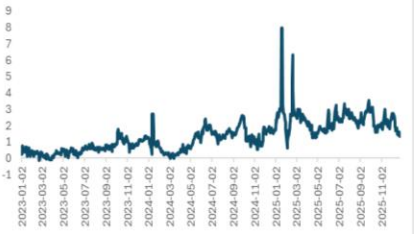
Market Pricing

AECO Benchmark Price Collapse: Low-cost, high-output production from the Montney and Deep Basin, combined with limited export access and pipeline congestion, led to a collapse in AECO prices in 2024, with weakness persisting into 2025. Despite resilient gas demand, excess supply pushed prices as low as $0.18/MMBtu in 2025, compared to a historical average of $3.26, a 92% decline. This price collapse reflected structural industry constraints rather than temporary market conditions.

Forward Outlook: Analysts believe AECO prices have bottomed and expect a gradual recovery beginning in 2026, driven by new LNG demand and improved pipeline access. Base-case forecasts estimate average prices of $3.45/MMBtu by the end of 2026, plateauing near $3.50 through 2032. While AECO pricing is expected to remain discounted, LNG Canada adding 1.8–2.0 Bcf/d of demand, easing tariffs, and rising domestic consumption are expected to support more sustainable pricing.

Basis Significance: The AECO-Henry Hub basis widened to approximately $1.79/MMBtu in 2024 due to supply imbalances and energy tariffs, reducing realized prices for Canadian producers. Analysts expect the basis to narrow to roughly $1.39/MMBtu in 2026, improving Alberta gas pricing and supporting higher cash flows for large producers such like TOU.

Figure 13: AECO Henry Hub Spot Spread (USD/MMBtu)



Source: Bloomberg

Competitive Positioning

TOU primarily competes against other production and exploration gas companies in North America, specifically in the Deep Basin and Montney plays. Its comparable peers include ARC Resources, Peyto Exploration and Development Corp., Paramount Resources, Birchcliff Energy, Ovintiv, and Advantage Energy Ltd (Appendix 2). TOU is differentiated from its peers as Canada's largest natural gas producer with a unique combination of advantages such as its scale, low-cost assets, and integrated infrastructure.

Tier-One Reserve Base: While many Canadian gas producers are depleting tier-one inventory, TOU holds a large base of low-cost drilling opportunities. TOU holds 5.5 billion boe of 2P reserves, the second-largest conventional liquids reserve base in Canada. It has identified 25,462 potential well locations but has booked only 16%, leaving 84% unrepresented in current reserves, indicating significant upside. Through its reserve base, TOU will be able to maintain its competitive positioning with the optionality to defer, accelerate, or maintain production for decades to come.

Building a Global Gas Portfolio: With Canada's growing access to global markets, TOU is positioned to experience greater upside despite AECO pricing challenges through its growing gas portfolio. TOU has secured long-term export deals with companies such as Uniper and Centrica, offering them greater exposure to international prices and diversified demand sources. The combined deals add 130,000 MMBtu/d of exports over nearly a decade. With international exposure, TOU gains a competitive advantage over peers, with many relying entirely on domestic markets for exports. If Asian prices strengthen, international export contracts will allow TOU to capture the premium and meet rising international LNG demand.

Investment Summary

Thesis #1: TOU is advancing core asset growth through strategic investment

Three Core Asset Areas: TOU focuses its operations in three core areas which include the NEBC Montney gas/condensate complex, the Alberta Deep Basin complex, and the Peace River High complex. NEBC Montney carries significant value in its potential for growth, holding 3,279 mboe in 2P reserves and is characterized by its high margins and geological advantages. The Alberta Deep Basin complex produces 320,000 boe/d, with nearly all its processing infrastructure owned by TOU, providing greater cost efficiency and operating flexibility. TOU is considering a divestiture of the Peace River High complex to pursue higher growth opportunities in the other two operating areas, demonstrating strong capital discipline.

Vertical Integration Through Extensive Ownership: Through utilizing a vertically integrated operating model, TOU can maintain cost control and increase operational flexibility. TOU owns and operates assets across its upstream, midstream, and marketing segments. TOU claims to have the largest drilling inventory in North America, with more than 20,000 locations and over 20 years of Tier 1 inventory. With its three core asset complexes, company-owned midstream infrastructure, and transportation access to multiple hubs, TOU can internalize processing and transaction fees and optimize liquids recovery. By utilizing this vertically integrated operating structure, TOU's margins are protected by minimized exposure to cost inflation and higher realized revenue per mcf.

Acquisition Strategy: TOU prioritizes acquisitions that add immediate value to existing operations to enable synergies, reduce costs, and improve the quality of existing assets. The 2024 acquisition of Crew Energy for $1.4 billion is anticipated to add over $200 million to free cash flows and added over 700 Tier 1 drilling locations. In 2025, the acquisitions of Saguaro and Greater Septimus for approximately $1 billion added 410 Tier 1 locations which are critical to the North Montney phase 2 project, as well as an additional 20,000 boe/d of production. TOU's acquisitions consistently expand its resources and capabilities to support long-term growth and a margin structure that isn't easily replicated by peers.

Thesis #2: TOU's commitment to cost leadership and capital allocation advantage

Low Operating Costs Through Strong Capital Efficiency: TOU has demonstrated its ability to improve productivity while decreasing capital costs. The company has achieved the lowest drill/complete capital costs in the North Montney play area, targeting $3.5 million per well or less. Through strategic geographic concentration, scalable manufacturing, and continuous optimization, management expects further cost reductions of 5% in the Alberta Deep Basin, and a 20% improvement in transportation and operating costs in the Montney buildout relative to current levels. Through focused investment in its core assets, TOU has delivered strong productivity improvements and generated attractive returns which are expected to be sustained in the long-term.

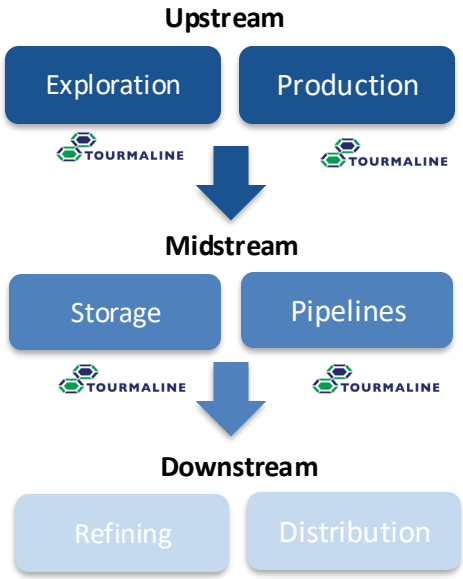
International Pricing Exposure: TOU has secured direct access to international markets through locking in long-term LNG supply agreements. TOU and Uniper have signed an eight-year gas agreement for 80,000 MMbtu/d which will begin in November 2028. The contract will be priced off the TTF benchmark and offer TOU guaranteed exposure to international pricing. In November 2025, TOU signed a 10-year natural gas agreement with Centrica Energy starting in April 2028, agreeing to deliver 50,000 MMbtu/d. Deploying capital to new areas through these deals creates long-term upside to North American gas. Higher capital allocation to transportation and marketing is creating a lower unit-cost of supply versus its peers, reinforcing Tourmaline's position as one of the highest-margin gas producers in Western Canada.

Thesis #3: TOU is well positioned to capitalize on the growth of Western Canadian gas consumption

Ready to capitalize on LNG expansion: We are now at an inflection point: global LNG export capacity is projected to grow by 50% by 2030, driven primarily by the U.S. and Qatar. TOU is uniquely positioned to capitalize on this wave. Beyond their existing Cheniere partnership, TOU has secured five additional contracts starting between 2026 and 2028. this will add a cumulative 272 MMcf/d of Gulf Coast exposure to support this increase in export capacity. While TOU does not currently have ties to exporting natural gas to the Canadian West Coast for liquefaction, it is best positioned - as Canada's largest producer—to benefit from a tightening AECO differential as B.C. export volumes rise.

Well Positioned for data center expansion: Prior to the Canada-Alberta MOU, the Clean Electricity Regulations (CER) effectively stalled investment in natural gas power generation – and by extension, large data center projects - due to high regulatory risk (Appendix 3). Since the MOU was announced in late 2025, the province has already seen major commitments, most notably the $1.26 billion agreement between Technologies New Energy (TNE) and Data District to develop four data centers in Central and Northern Alberta.

Figure 14: TOU Operating Segments



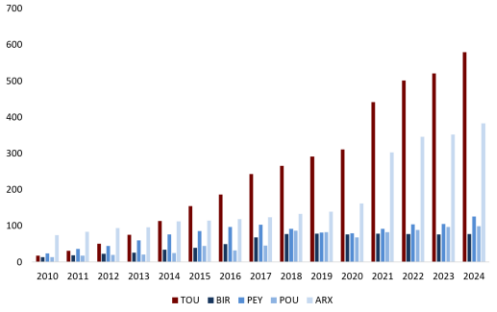
Source: Tourmaline Oil

Figure 15: Capital Efficiency Improvements



Source: Investing.com

Figure 16: Total Production MBoe/d



Source: Bloomberg

Figure 17: Canadian LNG Projects

Project	Location	Cap. Bcf/d	Status
LNG Canada P1	Kitimat	1.84	Operating
LNG Canada P1	Kitimat	1.84	Awaiting FID
Ksi Lisims LNG	Pearse Island	1.58	Awaiting FID
Cedar LNG	Kitimat	0.39	Under construction
Tilbury LNG	Delta	0.33	In expansion
Woodfiber LNG	Squamish	0.28	Under construction

Source: Government of Canada

These facilities will utilize on-site natural gas plants to supply 80% of their own electricity. Once the MOU is fully translated into policy by April 1, 2026, investors will have more confidence, which could lead to a higher volume of projects and accelerated Final Investment Decisions (FIDs). As Alberta establishes itself as a hub for AI infrastructure, TOU is exceptionally well-positioned to capitalize on the resulting local demand and premium pricing benefits.

Timing the increased demand: TOU's management has proven adept at optimizing gas flows based on market dynamics. During weak pricing environments during 2024–2025, TOU strategically slowed production growth and diverted excess volumes to markets outside of Canada. They were effectively waiting for more favorable Canadian pricing before rapidly growing production. With TOU just starting their NEBC build out, the timing of this production growth is aligned to meet the surge in demand driven by the above factors.

Valuation

We conducted both an intrinsic valuation using a Net Asset Value (NAV) framework and a relative valuation using EV/boe/d multiples to arrive at a 12-month target price of $65.47 per share, representing a 12.2% upside from TOU's closing share price of $58.35 on January 8. Our valuation methodology assigns a 70% weighting to NAV and a 30% weighting to relative valuation, reflecting the asset-intensive nature of Tourmaline's business and the importance of reserve-based valuation in upstream oil and gas.

Net Asset Value Model (NAV)

We value Tourmaline Oil using a Net Asset Value (NAV) framework, the industry-standard valuation approach for upstream oil and gas companies. The NAV methodology estimates equity value by discounting the after-tax cash flows generated from proved developed (PD) and proved undeveloped (PUD) reserves over their productive lives. This approach explicitly captures reserve quality, decline profiles, capital requirements, and long-term commodity price exposure.

The model is constructed using a mid-case commodity price deck that reflects normalized long-term fundamentals, with prices of $4.25/Mcf for natural gas, $45.00/bbl for NGLs, and $95.00/bbl for oil. Production volumes are allocated across commodities based on Tourmaline's historical production mix. Operating costs, transportation and processing expenses, and production taxes are applied on a per-unit basis and held constant across price scenarios to isolate the sensitivity of reserve value to commodity prices, consistent with reserve-based NAV methodology.

Cash flows are discounted at a 10% reserve discount rate, consistent with industry convention for upstream NAV analysis and reflective of Tourmaline's low leverage, investment-grade balance sheet, and position as a low-cost producer in the Western Canadian Sedimentary Basin. After incorporating corporate-level costs, cash taxes, asset retirement obligations, net derivatives valued as of the valuation date, and net debt, we derive a mid-case NAV of $25.7 billion, or $66.38 per share. This represents a 13.76% premium to the current share price, indicating attractive upside driven by high-quality reserves and leverage to improving natural gas fundamentals.

Relative Valuation – EV/Boe/d

To complement our intrinsic NAV analysis, we assess Tourmaline Oil using a relative valuation framework based on enterprise value per flowing barrel (EV/boe/d). This metric is commonly used in upstream oil and gas analysis as it normalizes valuation across producers of different sizes and reserve lives while reflecting market perceptions of asset quality, operating efficiency, and scale. We apply the multiple to forward FY2026 production, which improves comparability across peers at different stages of development.

Our comparable peer group consists of large-cap, natural gas–weighted North American producers, including ARC Resources, Peyto Exploration & Development, EQT Corporation, Antero Resources, Range Resources, and Comstock Resources. These companies were selected based on similarities in commodity mix, reserve quality, and operating profiles. Using FY2026 production estimates, the peer group trades at a median EV/boe/d multiple of 40.40x, while Tourmaline currently trades at 37.64x per boe/d, indicating a discount to peers despite its larger scale and low-cost asset base. Applying the peer median EV/boe/d multiple to Tourmaline's projected FY2026 production of 639 mboe/d results in an implied enterprise value of $25.8 billion. After adjusting for net debt of $1.3 billion, this implies an equity value of $24.5 billion, or $63.34 per share, representing 8.56% upside to the current share price. While the implied upside from relative valuation is more modest than under our NAV framework, the analysis supports the conclusion that Tourmaline trades at a discount to comparable natural gas producers despite its scale, balance sheet strength, and inventory depth.

Blended Valuation and Target price

Applying a 70% weighting to our NAV valuation and a 30% weighting to our EV/boe/d relative valuation, we derive a blended target price of $65.47 per share, representing 12.2% upside to Tourmaline's closing share price of $58.35 on January 8. While the implied price appreciation is moderate, we believe Tourmaline warrants a Buy rating based on its attractive intrinsic value and strong operating fundamentals.

This valuation is supported by Tourmaline's low-cost operating base, disciplined capital allocation, and strong balance sheet, as well as its leverage to improving long-term natural gas fundamentals. Our blended approach balances the long-term intrinsic value captured in the NAV framework with prevailing market multiples reflected in relative valuation, providing a well-rounded and conservative estimate of fair value.

Figure 18: Blended Target Price

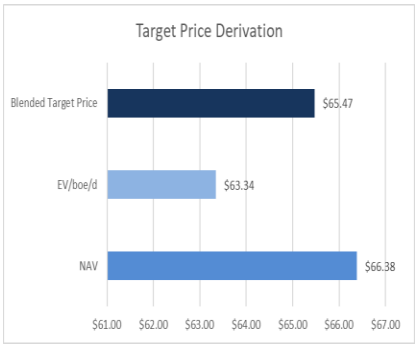
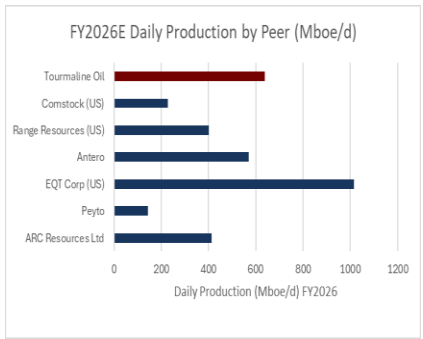
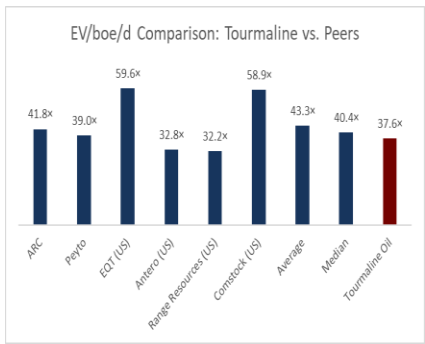


Figure 19: EV/Boe/d Comparison



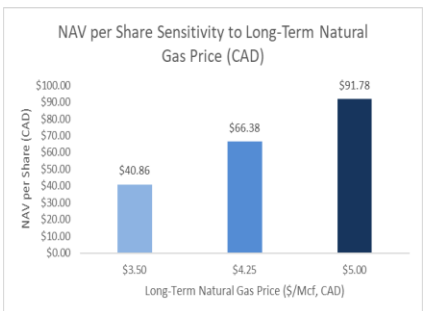
Source: Bloomberg

Figure 20: EV/Boe/d Comparison



Source: Bloomberg

Figure 21: NAV per Share Sensitivity



Financial Analysis

Oil and Gas Revenue

TOU has delivered strong revenue growth since operations began in 2009, driven primarily by production expansion and exposure to natural gas pricing. Revenue growth over time has reflected steady increases in production volumes alongside periods of favorable commodity pricing. A significant increase occurred from 2020 to 2021, when revenue rose sharply due to a combination of higher production and stronger natural gas prices. Average production increased by 42% over this period, rising from 310.5 mboe/d in 2020 to 441.1 mboe/d in 2021, while AECO natural gas prices also strengthened, amplifying reported revenue growth.

Revenue peaked in 2022 due to a period of elevated natural gas prices before normalizing in subsequent years. Total revenue totaled $5.69 billion in 2024 and $6.15 billion on a LTM basis ending September 2025. Natural gas prices remain volatile and uncertain. TOU intentionally maintains exposure to spot pricing, hedging only 41% of its natural gas production in 2025. This approach comes with price uncertainty but preserves upside during rising natural gas prices. What's equally important is total production volumes increased steadily from 2020 through 2024, from 310.6 mboe/d in 2020 to 579.2 mboe/d in 2024, with 2022 production being 500.8 mboe/d. This goes to show that the outlier in 2022 wasn't an increase in production but rather a spike in prices.

Overall, long-term revenue growth has been supported by disciplined production expansion within management's control, rather than reliance on favorable commodity price spikes.

Margins and Cost Structure

Tourmaline's gross margins have remained consistently high since 2021 through the LTM period ending September 2025. Over this period, gross margins ranged from a low of approximately 79% to a high of 86%, reflecting strong prices and a low-cost operating structure. This low-cost structure supports margins that are elevated compared to their competitors. The peak gross margin of 86% in 2022 coincided with high natural gas prices, even in subsequent years when facing normalized gas prices. The lowest gross margin remained impressive at 79.74% in 2024 and 79.31% on an LTM basis. This small decrease in margins wasn't due to deterioration in operating efficiency but rather a normalization in commodity pricing. Thus, highlighting the durability of Tourmaline's low-cost structure.

EBITDA margin followed a similar cycle, rising from 67.06% in 2021 to 72.37% in 2022, then compressing to 57.91% in 2024 and then improving to 63.62% on a LTM basis. Operating margin followed a similar pattern, peaking at 54.77% in 2022, declined in 2024, and improved to 35.79% on an LTM basis. While margins have decreased from peak levels, these decreases are primarily due to natural gas price normalization along with higher depreciation and amortization resulting from increased capital investment. What's important is that the underlying cash margins remain quite strong. Supporting free cash flow generation.

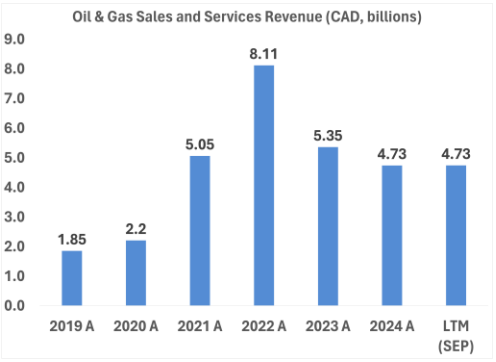
Balance Sheet and Capital Structure

On a LTM ending September 2025, TOU has maintained a resilient and conservative balance sheet supported by strong cash flow generation. Operating cash flow totaled $3.35 billion, providing substantial means to service obligations and fund capital investment. As of Q3 2025, net debt was approximately $2.3 billion, or approximately $1.5 billion on a net of TPZ equity basis. This is modest debt compared to their operating cash flow and overall capitalization, with net debt being well below 1.0x operating cash flow.

If we go back to 2024, net debt stood at $1.3 billion, representing 0.48x of the 2024 operating cash flow and only 8.39% of total equity, which also indicates a low degree of leverage. Furthermore, from 2020 to 2024, total assets increased from $12.79 billion to $22.31 billion, representing a 74% increase, while total equity grew from $9.28 billion to $15.54 billion, representing a 68% increase. This value increase reflects retained earnings rather than equity dilution supported by high leverage.

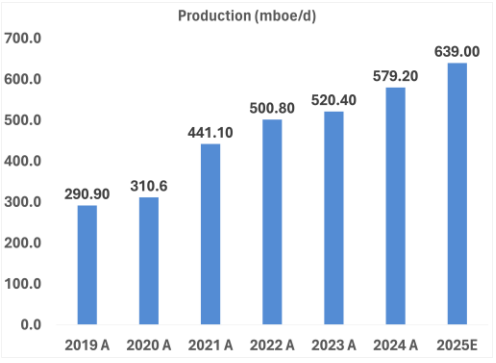
Balance sheet strength is supported by adequate liquidity and strong free cash flow generation. Liquidity remains stable, with a current ratio of 0.89 in 2024, which is reasonable for a large Exploration and Production company that's relying mostly on operating cash flow rather than working capital to meet short term obligations. This liquidity is reinforced by free cash flow generation of $470.6 million in 2024 and $412.9 million on an LTM basis ending September 2025, even under normalized gas pricing. Tourmaline's disciplined approach to capital allocation has enabled them to fund sustainable growth capital expenditures, as well as return capital to shareholders through dividends and share repurchases.

Figure 22: Revenue



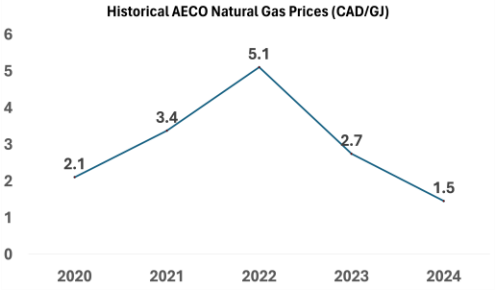
Source: Bloomberg

Figure 23: Production



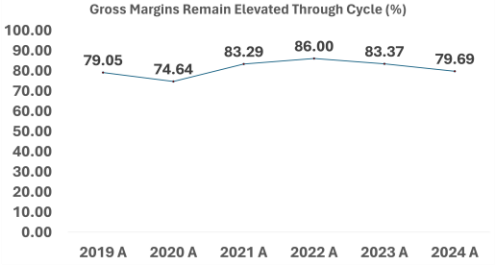
Source: Bloomberg

Figure 24: Pricing



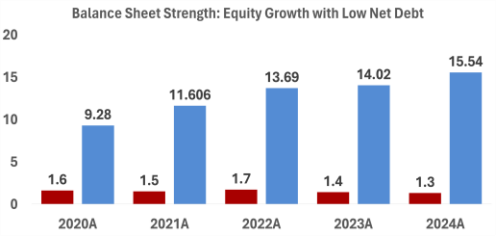
Source: Alberta Energy Regulator (AER)

Figure 25: Gross Margin



Source: Bloomberg

Figure 26: Net Debt Vs Equity



Source: Bloomberg

Overall, Tourmaline's conservative balance sheet shields them from downside risk in a cyclical natural gas price environment, while keeping the flexibility to apply leverage in periods of higher natural gas prices.

Guidance and Outlook

Looking forward, Tourmaline's outlook is supported by steady production growth, capital restraint, and free cash flow generation under both volatile and normalized natural gas pricing. Management has remained disciplined with a clean balance sheet and prioritized self-funded growth, with production expansion largely financed through operating cash flow rather than incremental leverage. The company's low-cost operations and significant exposure to natural gas pricing puts them in a position to benefit from improving AECO pricing, LNG export growth, and North American natural gas fundamentals. Furthermore, Tourmaline's conservative balance sheet provides flexibility in low price environments while preserving the ability to apply leverage during periods of stronger commodity pricing.

Overall, the company's operational discipline, cost structure, and financial flexibility indicate an attractive risk-reward security going forward.

Investment Risks

R1: Global LNG Oversupply

Based on export terminals scheduled to come online by 2030, global LNG supply is projected to increase by 50%, with the U.S. accounting for half of this new production. While this expansion will exert downward pressure on global prices, demand forecasts through 2050 remain varied (Appendix 1). Under more conservative outlooks, such as the IEA's STEPS scenario, demand may fail to keep pace with this rapid supply growth for the near future. **Mitigation:** While an LNG glut would reduce the probability of new Canadian LNG projects reaching FID, export capacity that is already built would still be expected to operate through a glut because most costs are sunk and utilization is driven by contractual commitments. As a result, even in a weak global LNG price environment, physical exports can still draw incremental volumes out of Western Canada, which reduces regional supply and promotes a tighter AECO basis differential. So, while there would be some lost opportunity from reduced exposure to international-price premiums, this is partially offset by stronger local pricing; rising energy demand within Canada (e.g., AI Data Centers) would also help strengthen Canadian natural gas prices.

R2: Energy Transition Accelerated

TOU, like other natural gas and oil producers, would face serious headwinds if the world were to accelerate the transition to renewables faster than currently anticipated. We consulted the IEA's Net Zero Emissions (NZE) scenario, which outlines a pathway to net-zero energy-related CO_2 emissions by 2050. Under this scenario, a severe glut emerges in natural gas and LNG markets, driving materially lower prices and under-utilization of LNG export facilities. **Mitigation**: TOU is among the best positioned of its peers to withstand an outcome like this due to its scale and operational efficiency. In such an environment, the Company's NEBC buildout would likely be deferred, and a re-evaluated strategy focused on cash harvesting would emerge as free cash flow becomes constrained by weaker pricing. However, based on its current booked inventory, TOU still has over a decade of drilling locations that remain economic at sub-C$2.00 AECO, which is below the scenario's implied long-term pricing after assuming a ~C$1.00 basis differential. Ultimately, this scenario is highly unlikely, as it would require an immediate, globally coordinated policy and investment shift, not to mention that many countries are behind their ambitions for renewable energy transition (Figure 29).

R3: Delays in NEBC Build Out

TOU's current growth plan is based on some key assumptions, including an AECO price of C$4.08/mcf from 2028–2031. Potential delays could arise from regulatory hurdles, labor shortages, fluctuating interest rates, and the risks mentioned previously. While our investment thesis leans heavily on TOU's expansion and emission reduction efforts in the NEBC region, a delay in this project would not be detrimental. **Mitigation:** TOU is very good at adapting to market changes and volatility, as demonstrated by their navigation through the weak pricing environment seen in 2024 and 2025 when they strategically delayed projects and reduced production accordingly. Ultimately, management remains comfortable with potential delays, as they retain the flexibility to develop these land assets when market conditions improve.

R4: Regulatory Risks

The primary regulatory concern revolves around how the Canada-Alberta Memorandum of Understanding (MOU) will be translated into policy by April 1, 2026 (Appendix 3). In a worst-case scenario, key MOU agreements such as the suspension of the Clean Electricity Regulations (CER) could be scrapped, potentially eliminating Alberta's chances of becoming a hub for AI data centers. **Mitigation:** Since the federal government has signaled its intention to eliminate the proposed oil and gas emissions cap for upstream producers, the LNG bull case for TOU remains intact. Intra-Canada natural gas demand could face headwinds if a lack of gas-fired power expansion reduces domestic consumption. TOU's marketing and diversification, along with higher exports of LNG on the west-coast, should partially mitigate lower demand in Canada.

Figure 27: Risk Matrix

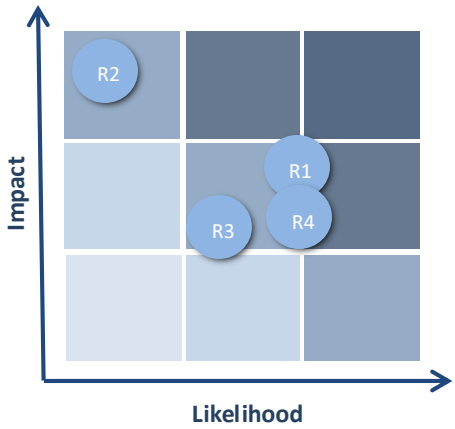
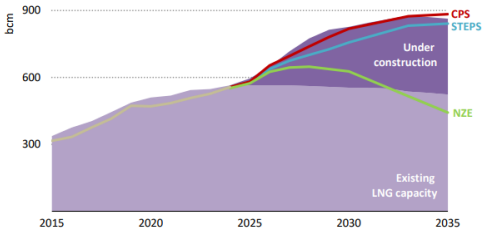
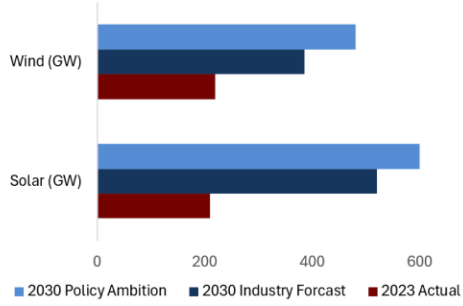


Figure 28: LNG Export Capacity vs Demand under different IEA scenarios



Source: IEA WEO 2025

Figure 29: REPowerEU Ambitions vs Forecasts



Source: Shell LNG Outlook 2025

ESG

TOU operates within a regulatory landscape governed mostly by provincial frameworks. Both Alberta and British Columbia have their own Output-Based Pricing Systems (OBPS), which incentivize carbon reduction by rewarding low-emission producers and penalizing heavy polluters. Companies that are actively managing environmental risks are best positioned to maintain a competitive advantage. Figure 30 summarizes TOU's ESG profile across various rating agencies. The company outperforms its Canadian peers in most areas, with its environmental performance serving as a key differentiator.

Environment

GHG Emissions: Since 2015, the TOU's scope 1 annual emissions have been trended linearly at a rate of approximately 250 ktCO2e per year. This trend can be attributed to the company's expansion and increased production. However, emissions intensity has remained relatively stagnant at 17–20 $kgCO_2e$/boe, failing to match the downward trend seen across the broader oil and gas industry (Figure 31). While this lack of improvement may seem concerning, several factors provide necessary context. First, TOU is still not lagging the industry: Although they were an industry leader from 2015 to 2017—ranking in the bottom 25th percentile for emissions intensity—TOU now sits closer to the median. Further, the increased intensity from 2022 to 2024 is largely attributable to major acquisitions. For example, the 2023 Bonavista acquisition added hundreds of legacy facilities and roughly 2,000 wells. These older assets were estimated to have a Scope 1 intensity 1.8 times higher than TOU's existing portfolio. Consequently, these additions drove both absolute emissions and intensity higher. Some Canadian peers have seen improvements in emissions intensity over the past decade; however, few have matched TOU's aggressive pace of consolidation and expansion.

Future Outlook: We believe that TOU will see a steady decline in emissions intensity over the next decade, positioning the company closer to the 25th percentile industry level achieved in previous years. Our view is supported by two primary factors. First, management has stated that the days of significant acquisitions are over, allowing for a strategic shift in capital towards operational efficiency. The company plans to address the higher emissions of previously acquired assets through a variety of methods, including upgrading legacy facilities and components and executing field-level consolidations. Second, the planned build-out of the NEBC Montney assets should drive down emission intensity. TOU will add approximately 200 mboe/d of production (>30% increase) from its most efficient and highest margin reserves, and since TOU is developing its own modern infrastructure, including the electrification of four major processing plants, new production will carry a significantly lower carbon footprint.

Water and Land: TOU is also actively committed to reducing its water and land impacts through ongoing investments in water recycling and storage infrastructure, with it currently having the lowest non-saline water use intensity of Alberta Producers and recycling 95% of flowback (Note 1). The company also emphasizes responsible land stewardship through careful site planning and reclamation efforts aimed at reducing surface disturbance.

Social

Employee Wellbeing: TOU remains committed to health, safety, and the development of its employees. In 2024, the company reported zero contractor fatalities and strong safety outcomes, specifically achieving a 42% reduction in TRIF and a 69% reduction in LTIF ratings since 2020. The company's permanent workforce has grown by over 50% since 2020, and TOU has supported this growth by increasing education and training investments per employee by over 170%. TOU also reports a low voluntary turnover (5%), and despite the small sample size, TOU holds the highest employee rating among its peers, with all surveyed employees stating they would recommend the company to a friend.

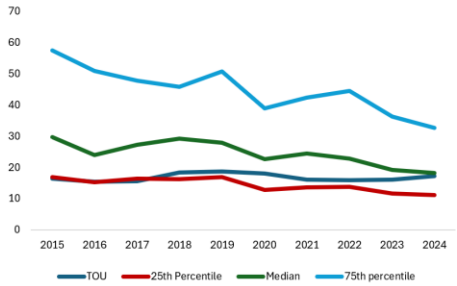
Diversity and indigenous engagement: TOU has implemented a formal Diversity Policy and successfully achieved its target of 30% female representation on the Board of Directors, with women also comprising 18% of officers and 37% of the total employee base (figure 34). TOU actively engages with Indigenous groups whose territories may be impacted by its operations, emphasizing pre-engagement to build trust and relationships well before regulatory requirements arise. Further, the company has integrated over 150 Indigenous-owned businesses into its vendor list and committed $600,000 over six years to the Indspire bursary program. We believe TOU is doing more than its peers in building Indigenous relationships, which supports project stability and fosters long-term trust.

Figure 30: ESG Scorecard

	Overall	E	S	G
LSEG	52/100	34	61	62
Morningstar	42.55/40+	-	-	-
Bloomberg	4.89/10	4.86	3.78	6.16
Team G	3	3	4	2

■ Leader ■ Above median ■ Near median ■ Below median

Figure 31: S1 Emissions Intensity ($kgCO_2e$/boe)



Source: Bloomberg

Figure 32: Strategy for Reducing Acquired Emissions



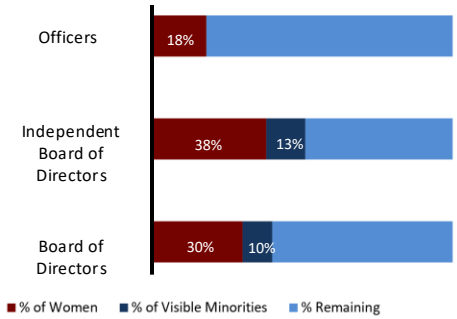
Source: Company Filings

Figure 33: Employee Reviews

	Rating out of 5	Would Rec. to a Friend	Num. of reviews
TOU	4.6	100%	15
ARC	3.9	79%	42
Paramount	3.5	54%	26
Ovintiv	3.6	58%	478
CNQ	3.5	62%	853

Source: Glassdoor

Figure 34: TOU Diversity



Source: Company Filings

Note 1: flowback refers to the water returned to the surface after fracturing. Non-saline water use intensity refers to the level of fresh water used per unit of production

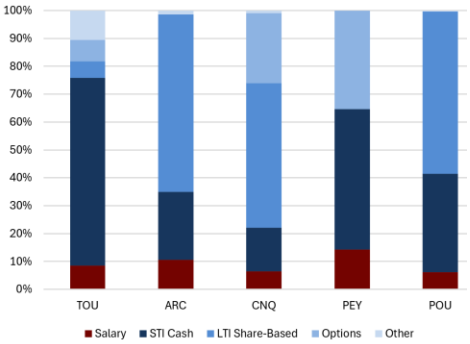
Governance

Management and Board of Directors: Across rating agencies, TOU's governance score remains a weak point. One of the contributing factors is TOU's combined CEO and Chairman structure. While this setup can lead to potential conflicts of interest and weaken accountability, TOU mitigates this risk through an independent Lead Director who ensures board autonomy. Furthermore, CEO Michael Rose maintains a high level of investor confidence, evidenced by a 97.24% shareholder approval rating. TOU's governance score could also be weakened by the fact that half of TOU's executive team has worked together since before TOU was founded in 2008 at other E&P companies, such as Duvernay and Berkley (also led by Rose). Although this long-standing tenure can raise concerns regarding "groupthink," we believe the team's operational advantages outweigh these risks. Management has demonstrated a proven, repeatable ability to create value by growing TOU into Canada's largest natural gas and NGL producer in less than 20 years. Overall, TOU's track record and deep industry experience support our view that the company is well positioned to deliver on its strategy.

Executive Compensation: The Compensation Committee, composed of three independent directors, recommends executive compensation to the Board. NEO compensation consists of base salary and at-risk components, including an annual cash bonus and long-term incentives through the Share Option Plan and a non-dilutive RSU plan. Relative to peers, TOU's program is more discretionary: compensation is reviewed annually without a clearly defined quantitative scorecard or pre-set payout formula. The lack of PSUs and the proportionally higher cash-based STI can be viewed negatively by governance rating agencies. It is important to note, however, that CEO pay is more cash-weighted in part because Michael Rose already has substantial insider ownership.

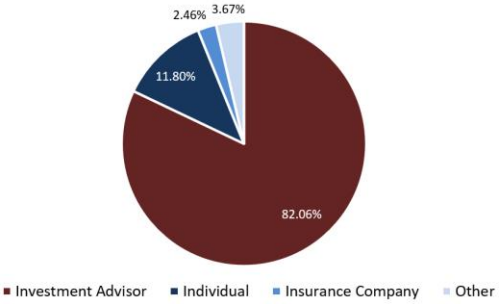
Shareholder Composition: TOU is primarily owned by a combination of retail investors and large institutional investment advisors (figure 36). The company's largest holder, Capital Group Cos Inc, maintains a stake of 4.83%, ensuring no single firm can influence decisions. TOU's high insider ownership of 5.23% is led by CEO Michael Rose, who alone holds 4.46%, ensuring management is deeply aligned with shareholders. Throughout 2025, Rose demonstrated further confidence by purchasing nearly 200,000 additional shares through open-market transactions. His position is now valued at well over C$1 billion.

Figure 35: CEO Compensation



Source: Company Filings

Figure 36: Shareholder Composition



Source: Company Filings

Catalysts

Near Term Production Increase

TOU delivered strong production growth of 634 mboe/d at the end of Q3 2025, at the high end of guidance despite shut-ins and low AECO prices. 2026 guidance is unchanged with production expected to rise between 690-710 mboe/d (***Figure 37***). As AECO prices normalize and LNG demand grows, the EP plan forecasts cash flows of $0.9 billion per quarter in Q2 and Q3 of 2026, which is a 20% increase over the same period in 2025. Strong production and higher realized prices are expected to lead to positive surprises and higher earnings within the next 6-9 months.

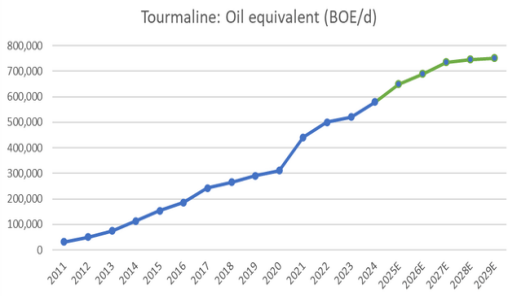
Self-Funded Growth and Strong Free Cash Flow

TOU is anticipated to deliver 2025 cash flow of $4.3 billion, while it delivered 2024 cash flow of $3.2 billion. The upcoming EP plan is expected to be fully funded by operating cash flows, indicating strong operating leverage as infrastructure expands and liquids continue to grow. FCF growth in 2025 despite weak AECO pricing demonstrates TOU's ability to maintain low costs and deliver returns to shareholders.

Positioned to Meet Demand Growth Through Montney Position

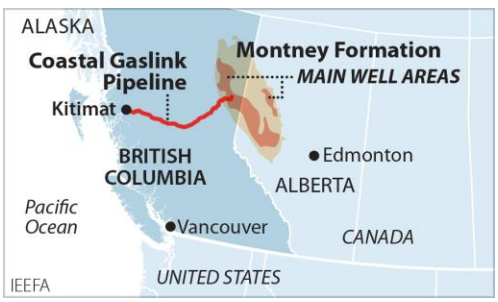
As one of the largest producers in the Montney formation, TOU owns and operates 7 significant natural gas processing facilities with combined capacity of 1 Bcf/d, as well as gas gathering systems and NGL handling infrastructure. With acquisitions such as Crew Energy and Black Swan Energy, TOU owns and operates major assets within the NEBC Montney region, and has become a dominant Montney operator. The expansion of LNG Canada in Kitimat, BC will provide greater global market access to Canadian gas producers. The facility will rely heavily on natural gas reserves in the Montney formation (***Figure 38***), where TOU has a dominant position. As LNG Canada increases capacity in 2026, TOU is directly positioned to meet rising export demand and expand top-line growth.

Figure 37: Forecasted Production Growth



Source: Seeking Alpha

Figure 38: Montney Feeding LNG Canada

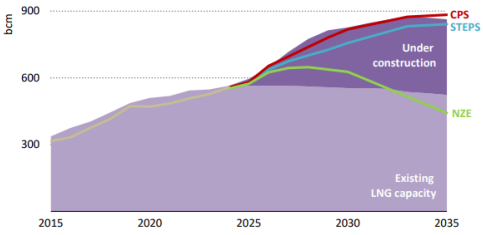


Source: IEEFA

Appendix 1: LNG Demand

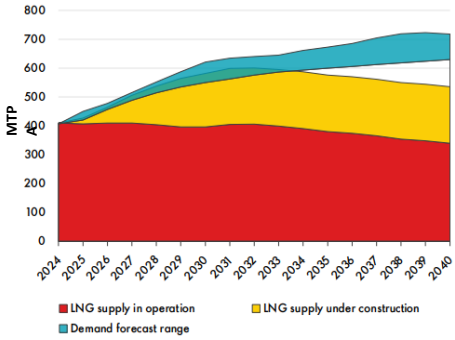
Forecasted demand for LNG varies by organization, with annual revisions reflecting new understanding of energy needs in emerging economies and data centers, as well as the actual pace of the renewable energy transition. For instance, IEA's 2025 Stated Policies Scenario (STEPS) significantly increased projected demand for both LNG and natural gas compared to its 2024 STEPS. This revision effectively halved the projected 2030 LNG supply surplus from 130 bcm to 65 bcm and was largely attributed to higher electricity demand for artificial intelligence and space cooling, alongside slower-than-expected progress in renewable deployment. Other industry players, such as Shell, forecast even higher demand with no glut projected. Under Shell's model, further expansion of global export capacity by the mid-2030s would be necessary to keep up with demand.

Figure 39: LNG Export Capacity vs Demand under different IEA scenarios



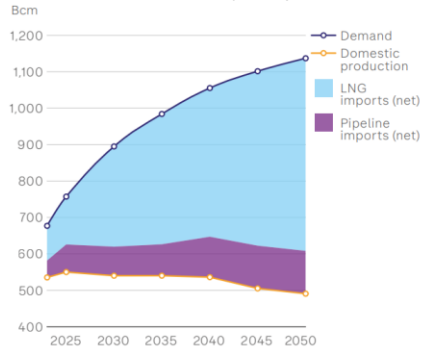
Source: IEA WEO 2025

Figure 40: Shell's forecasted LNG demand



Source: Shell LNG Outlook 2025

Figure 41: Natural gas S&D in emerging Asian Economies in Current Trajectory



Source: BP Energy outlook 2025

Appendix 2: Competitor Profiles

- Third largest Natural gas producer in Canada with focus on Montney and strong condensate exposure
- Currently maintains stronger production ties to Canadian West Coast LNG infrastructure than TOU. However, one of their larger contracts is still linked to Canadian pricing.
- Set to achieve higher relative exposure to LNG markets by 2030 compared to TOU (based on existing agreements), but TOU maintains a more diversified portfolio of smaller, individual agreements.

- Operates almost exclusively within the Alberta Deep Basin, with minimal exposure to the Montney formation.
- Less diverse operations, with focus on natural gas (only 12% liquids)
- Lowest operating costs among peers
- Few LNG agreements, but has good exposure to US markets
- Prioritizes operational efficiency and sustainable dividends over aggressive production growth

- More liquids/condensate weighted giving higher exposure to oil/condensate pricing than TOU.
- Recently closed an approximately $3.2B asset sale and is re-scaling around its remaining core areas (aiming to grow production to >100 mboe/d by 2028)
- Relative to TOU, paramount has smaller scale and less marketing/LNG optionality

- Maintains a diversified production profile similar to TOU, with a roughly 50/50 split between natural gas and liquids (oil, condensate, and NGLs)
- Operations in US Permian Basin for oil and Montney for gas/condensate
- Recent consolidation in Montney with acquisition of NuVista and Paramount assets
- No LNG exposure currently in operation, but has a 12-year Cedar LNG capacity agreement with expected start-up in late 2028

- Montney-focused and gas-weighted with relatively low liquids contribution
- Owns/operates some midstream infrastructure, but not as much as TOU
- Less diverse operations and mainly focused on natural gas (only 18% liquids)
- Pricing diversification is limited to AECO, Dawn, and Henry Hub
- Currently no direct international pricing exposure, but is part of Rockies LNG consortium (as is TOU)

- Operates primarily in the Montney, with additional exposure to the Charlie Lake Formation across Western Canada.
- Production is heavily weighted to natural gas, with roughly ~15% liquids/oil (condensate + NGLs)
- Marketing is more North America–focused with limited direct LNG exposure
- Owns the majority of Entropy Inc., which is focused on commercializing energy-transition technologies, and has been expanding into carbon storage hubs

Appendix 3: Regulatory Environment Background

Greenwashing Amendments to the Competition Act (Bill C-59): On June 20, 2024, the Canadian government made amendments to the Competition Act through Bill C-59, with the intent of preventing the practice of greenwashing. Companies are now required to provide evidence of any environmental claims before they are made public. These laws effectively shift the burden of proof from the regulator to the corporation and apply to claims about specific products and overarching claims about the business, including its goals. Many companies argued that parts of the bill were vague, particularly the sections outlining what constitutes adequate proof for environmental claims. Consequently, many Canadian oil and gas companies, including ARC Resources and Peyto, removed their most recent sustainability reports and other information about environmental goals from their websites. The federal government followed up with proposed amendments on November 5, 2025, to provide more clarity and relax certain requirements. Despite these proposed adjustments, many companies have yet to restore their environmental disclosures. TOU remains an outlier, maintaining its public sustainability reporting throughout this period.

Canada-Alberta Memorandum of Understanding (MOU): The previously proposed Oil and Gas Emissions Cap was effectively scrapped during the 2025 budget announcement. This provided upstream producers the peace of mind to produce without federally imposed limits. However, Alberta was still subject to the Clean Electricity Regulations (CER), which set emissions-intensity limits for large fuel-fired power plants. Though framed as 'limits,' the regulations effectively prevented gas-fired power generation beyond 2035. This is because the CER's 2035 emissions-intensity cap of 65 t/GWh is largely unachievable; even modern, high-efficiency natural gas plants typically emit five to six times that amount. Meeting this standard would require large Carbon Capture and Storage (CCS); however, with current technology, this is not economically feasible. Under a Memorandum of Understanding (MOU), Canada agreed to suspend the CER in Alberta in exchange for stricter provincial carbon pricing and carbon capture through its TIER program. This matters for natural gas producers: without an emissions cap on gas-fired plants, Alberta can support more data centers, which increases the overall demand for natural gas.

Because this is currently only an agreement, many details, including carbon pricing equivalency, will be finalized by April 1, 2026. This date marks a turning point, and many remain skeptical about whether both parties will follow through with the deal. A primary concern involves Alberta's agreement to get its effective carbon price to at least $130/tonne, since shortly after the MOU announcement, Alberta chose to weaken the TIER system. This action seemed to contradict the agreed upon target and led to a further increase in the supply of credits, which drove the effective carbon price below $20/tonne. Ultimately, by April 1, we will have a clearer view of the future of the energy industry in Canada. If the MOU remains largely unchanged, investors will gain more confidence in the ability to supply power in Alberta, which could help drive AI data center builds.

Appendix 4: Significant Acquisitions Since 2021

Date	Acquisition	Region	Purchase Price ($MM)	Production (boe/d)
Apr 15, 2021	Saguaro	Montney NEBC	$205.0	9,000
Jul 15, 2021	Paramount	Montney NEBC	$85.6	2,400
Jul 15, 2021	Black Swan	Montney NEBC	$896.5	50,000
Aug 10, 2022	Rising Star	Peace River High	$191.1	5,700
Nov 17, 2023	Bonavista	Deep Basin	$1,340.2	60,000
Oct 1, 2024	Crew	Montney NEBC	$1,188.1	30,000
Dec 1, 2024	Todd	Montney NEBC	$296.5	4,500
Jun 1, 2025	Strathcona	Montney NEBC	$285.7	8,000
Jun 6, 2025	Saguaro	Montney NEBC	$481.5	12,000

Appendix 5: LNG Agreements

Counterparty	Volume (MMcf/d)	Index	Delivery	Start	Term / End
Cheniere	140	**JKM**	US Gulf Coast	Jan 2023	15-year term
Trafigura	50	**TTF**	AB-NIT	Mar 2024	Mar 2024–Dec 2026
Hartree	30	**TTF**	US Gulf Coast	Apr 2026	1-year term
EDF	50	**TTF**	US Gulf Coast	Apr 2027	19-month term
Trafigura	62.5	**JKM**	US Gulf Coast	Jan 2027	7-year term
Centrica	50	**TTF**	AB-NIT	Apr 2028	10-year term
Uniper	80	**TTF**	US Gulf Coast	Nov 2028	8-year term

Appendix 6: ESG Score Card

Approach and Rational

To address inconsistencies among ESG rating agencies and establish a clearer picture of TOU relative performance, we developed a proprietary ESG scorecard. We benchmarked TOU against a select group of natural gas-focused peers operating primarily in the Montney and Alberta Deep Basin. For the overall score, we weighted Environmental at 50% and Social and Governance at 25% each to reflect that environmental performance is the most material ESG driver.

Methodology	Description
Scoring Scale	Scores range from 0 (laggard) to 5 (leader), reflecting relative performance versus the peer group.
Process	TOU was initially assessed and ranked to set a baseline. Peers were then evaluated relative to TOU's performance.
Calibration	If peer research indicated that our initial assessment of TOU was either too high or too low relative to the group, the scores were adjusted to ensure an accurate comparative ranking.
Criteria	The key drivers for these scores are detailed in the category descriptions below.

	Tourmaline	ARC	Peyto	Paramount
Environmental				
GHG Emission	25% reduction in methane emissions intensity vs. 2020 baseline. Clear goals/targets including a 55% methane intensity reduction by 2027. $40-60 million investment allocated per year to Environmental Performance Improvement program.	Targeting a 20% decrease in GHG and methane emissions intensity. Historically strong emissions intensity (lowest among Canadian peers in 2020). However, has limited public disclosure of the most recent emission updates.	Emissions intensity broadly similar to TOU (2021–2023), with much less production growth. 28% reduction in emissions intensity from 2013–2021, a Smaller improvement than TOU over the same period.	Lowest disclosed emissions intensity in 2024. However, methane represents a larger share of total emissions vs. peers. Limited quantitative targets and limited capex detail tied to emissions reductions.
Water Management	Commitment to eliminate freshwater use across core gas operations. Lowest freshwater-use intensity among Alberta producers. Recycled water per well doubled from 2020–2024. Flowback recycled is the highest amongst peers at 95%	Focus on reducing freshwater use in drilling/completions via innovation and design optimization. No clear quantitative targets disclosed. Lower score driven by limited public disclosure.	Targets 80% recycling of flowback during fracturing. Lower score driven by lack of recent public disclosure.	Limited visible progress or initiatives on water management, with zero flowback recycled in 2024.
Score	3	2	2	1
Social				
Employee Well-being and diversity	Significant investment in employee training. 42% reduction in TRIF (injury frequency) since 2020. Moderate board diversity.	29% women in the workforce (2022) (below peers), with no recent disclosure. Has various support programs, including physical and mental health initiatives.	Low voluntary turnover, averaging 2% over the past five years. Highest share of women among peers at 40%.	31% of the workforce is women (lower than peers). 38% women on the board (above peers). Much lower training spend per employee than TOU ($778 vs. $1,946).
Indigenous Engagement	$600k Indspire bursary commitment. 150+ Indigenous vendors integrated into the supply chain. Commitment to pre-engagement and long-term relationships.	Commitment to pre-engagement and building employee knowledge. Involvement in various communities. Indspire-related scholarships, but no figures disclosed.	Commitment to working with Indigenous communities and has a citizen of the Métis Nation of Alberta on its board of directors. No quantitative targets or financial figures disclosed.	Notes most lands are not on reserve or settlement lands. Engagement with Indigenous communities in accordance with applicable legislation.
Score	4	3	3	2
Governance				
Management and Directors	Michael Rose is both the CEO and Chairman. 6/10 executives have worked together since before TOU's founding.	Very diverse board with 91% independent (highest among peers). Independent Chair and low tenure.	3/8 directors are current or former CEOs (including the Chair). Donald Gray, former CEO, is classified as independent.	James H.T. Riddell serves as both Chairman and CEO. Riddell family holds controlling interest in the company (collectively directing over 45% of the outstanding shares)
Compensation Structure	Discretionary nature of the at-risk pay provides less transparency compared to most peers.	More detailed disclosure on how at-risk pay is determined. STI and LTI tied to explicit scorecards	Defined as-risk component of compensation tied to proved reserve growth and TSR.	Discretionary nature of the bonus plan is similar to TOU. Above median compensation vs peers.
Score	2	4	2	1
Overall Score	3	2.75	2.25	1.25

Appendix 7: Executive Committee

Name and position	Background
Michael Rose CEO Chairman of the Board President	Michael has over 38 years of experience in the oil and gas industry and has served as CEO since founding the company in 2008. Prior to TOU, he was CEO of Berkley Petroleum Corp. and Duvernay Oil Corp., both of which were later acquired. He holds a bachelor's degree in geology from Queen's University
Brian Robinson CFO	Brian has over 37 years of oil and gas experience in finance and accounting roles. He previously served as CFO and Vice President of Duvernay and Berkley Oil Corp. He holds a Bachelor of Commerce from the University of Calgary and is a Chartered Accountant.
Scott Kirker Chief Legal Officer External Affairs	Scott has over 30 years of experience practicing law, has been with TOU since 2008, and became Chief Legal Officer in 2022. He was the Manager, Corporate Affairs at Duvernay Oil Corp., until its acquisition and holds a bachelor's degrees in arts and law, as well as a master's degree in psychology, all from the University of Alberta.
Earl McKinnon Chief Operating Officer	Earl became COO in late 2023 after progressing through operations leadership roles at TOU and previously holding engineering and operations positions at Shell Canada. He holds a Bachelor of Science in petroleum engineering from the University of Montana.
Sherra Aspin VP, Marketing	Sherra has led marketing as Vice President since 2017 and has been with TOU since 2009, after earlier marketing experience at Duvernay. She holds a Bachelor of Commerce from the University of Saskatchewan.
Katie Beck VP Legal General Counsel Corporate Secretary	Katie has been with TOU since 2017 and became Vice President, Legal in late 2024. She previously held legal and business development roles at a midstream operator and holds an economics degree from UBC and a Bachelor of Laws from Dalhousie University.
Allan Bush VP Corporate Affairs	Allan became Vice President, Corporate Affairs in late 2023. Previously, he served as COO and Vice President, Production. Before joining TOU, he was Completions and Operations Engineering Manager at Duvernay Oil Corp. He holds a bachelor's degree in mining engineering from Montana College of Mineral Science and Technology.
Colin Frostad VP Exploration	Colin has led exploration since 2019 after joining TOU in 2009, following a geology career that includes earlier work at Duvernay and extensive NEBC/PRH leadership. He holds a master's degree in geology from the University of Calgary.
Jamie Heard VP Capital Markets	Jamie became Vice President, Capital Markets in 2023 after joining TOU in 2019, bringing prior capital markets and investing experience as well as the CFA designation. He holds an MBA (Finance) from the Willam E. Simon Graduate School of Business.
Adam Karpoff VP Land	Adam has been with TOU since 2013 and became Vice President, Land in late 2025. He holds a Bachelor of Commerce (Petroleum Land Management) from the Haskayne School of Business at the University of Calgary.
Matthew Ockenden VP Midstream	Matthew has been with TOU since 2021 and became Vice President, Midstream in 2025. He has over 20 years of oil and gas experience across E&P and midstream roles and holds a Bachelor of Commerce from Royal Roads University.

Appendix 8: Board of Directors

Name and position	Since	Background
Michael Rose CEO Chairman of the Board President	2008	See previous section.
Brian Robinson CFO	2008	See previous section.
Jill Angevine Independent Chair: Compensation Member: Audit; Governance and Nominating	2015	Jill has over 25 years of experience in the investment management industry and serves on the board of Advantage Energy Ltd. and Ero Copper Corp. She was previously VP and Director, Institutional Research at First Energy Capital Corp. Jill is a CFA Charter holder and Chartered Accountant, with a Bachelor of Commerce degree from the University of Calgary.
William Armstrong Independent Member: Reserves	2008	William has been the CEO of Armstrong Oil & Gas Inc. since he founded the company in 1985. He holds a bachelor's degree in Geology from Southern Methodist University.
Lee Baker Independent Chair: Reserves Member: ESS	2011	Prior to 2016, Lee was the CEO of Nordegg Resources Inc., which he cofounded in 2008. Before 2008, he was the CEO of RSX Energy Inc. Lee holds an honors degree from McMaster University and is a member of the Association of Professional Engineers and Geoscientists of Alberta.

Christopher Lee Independent Chair: Audit Member: ESS	2023	Christopher previously held senior leadership roles at Deloitte, including Deputy Chair in Canada and Energy & Resources leader. He currently serves on the boards of Alberta Blue Cross (finance chair) and Mount Royal University (vice chair). Christopher holds a Bachelor of Commerce from the University of Manitoba and is a Chartered Professional Accountant.
Andrew MacDonald Lead Independent Director Chair: Governance and Nominating Member: Audit, Compensation	2011	Andrew was previously the Co-Head of Canadian Equities and Portfolio Manager with Phillips, Hager & North Investment Management. He has experience in geology and over 30 years of experience in the investment industry. Andrew holds a bachelor's degree in geology from Princeton University.
Lucy Miller Independent Chair: ESS Member: Compensation; Governance and Nominating	2017	Dr. Miller is an independent businesswoman who previously served as President and CEO of United Way of Calgary (2012–2016) and, before that, Chief Superintendent of the Calgary Catholic School District. She has extensive board and advisory experience (including Chandos Construction and the Haskayne School of Business Advisory Council) and is recognized for expertise in social responsibility, earning national and provincial leadership honors.
Travis Toews Independent Member: Audit; Governance and Nominating	2024	Travis is Managing Director of the Melbern Group (cattle ranching and environmental services) and served as an Alberta MLA from 2019–2023, including as Minister of Finance, Treasury Board President, and a member of Executive Council. He began in public accounting, later worked in agriculture and energy services, and has held leadership roles on industry and non-profit boards, including President of the Canadian Cattle Association.
Janet Weiss Independent Member: ESS; Reserves	2020	Janet led BP Exploration (Alaska) as President from 2013–2020 and spent her career at BP (and ARCO before its acquisition), bringing over 35 years of oil and gas experience, including serving as a director of BP America and BP Alaska. She has held nonprofit board roles in Alaska and currently serves as a director of Halliburton, First National Bank of Alaska, and Northwest University, and holds a Bachelors in Chemical Engineering from Oklahoma State (1986).

Appendix 9: Top Shareholders

Holder Name	Num. of Common shares	% Out
Capital Group Cos Inc	18,682,338	4.83
Rose Michael	17,245,359	4.46
Vanguard Group Inc	15,570,593	4.02
Blackrock Group Inc	14,084,711	3.64
1832 Asset Management LP	11,846,422	3.06
Dimensional Fund Advisors LP	10,592,593	2.74
Royal Bank of Canada	8,641,058	2.23
Davis Selected Advisers LP	6,387,966	1.65
Canoe Financial LP	5,459,199	1.41

Appendix 10: NAV Model

Long-Term Natural Gas Price:	$ / Mcf	$3.50	$4.25	$5.00
Long-Term NGL Price:	$ / Bbl	33.75	45	56.25
Long-Term Oil Price:	$ / Bbl	90	95	100
Category:		**Low**	**Mid**	**High**
(+) Proved Developed (PD) Reserves:	$ M	$15,687.80	$23,828.10	$31,968.40
(+) Proved Undeveloped (PUD) Reserves:	$ M	7,355.40	12,945.20	18,477.60
Pre-Tax Asset Value:	$ M	**23,043.30**	**36,773.30**	**50,446.00**
(-) PV of G&A and Employee Compensation:	$ M	-2,015.80	-2,582.30	-3,146.40
(+/-) PV of Value of Hedges:	$ M	-	-	-
(-) PV of Cash Taxes:	$ M	-4,693.80	-7,982.50	-11,257.40
After-Tax Asset Value:	$ M	**16,333.60**	**26,208.50**	**36,042.20**
(+) Value of Non-Core Businesses:	$ M	59.6	59.6	59.6
(+) Value of Undeveloped Land:	$ M	21.1	21.1	21.1
Total Asset Value:	$ M	**16,414.30**	**26,289.20**	**36,122.90**
(+) Cash & Investments:	$ M	-	-	-
(+) Net Operating Losses:	$ M	-	-	-
(+) Net Derivatives:	$ M	841.2	841.2	841.2
(-) Debt:	$ M	-1,304.20	-1,304.20	-1,304.20
(-) Finance Leases:	$ M	-	-	-
(-) Asset Retirement Obligations:	$ M	-138.4	-138.4	-138.4
(-) Unfunded Pensions:	$ M	-	-	-
(-) Preferred Stock:	$ M	-	-	-
Net Asset Value:	$ M	**15,813.00**	**25,687.90**	**35,521.60**
Diluted Shares Outstanding:	# Shares	387.011	387.011	387.011
NAV per Share:	$ as Stated	$40.86	$66.38	$91.78
Premium / (Discount) to Current Share Price:	%	-29.97%	13.76%	57.29%

Appendix 11: Proved Developed Reserves

Period	Year	Days	Beginning Reserves	Production (Mmcfe): Daily	Annual	Ending Reserves
0	FY 24			3,475		
1	FY 25	365	7,147,465	3,058	1,116,158	6,031,307
2	FY 26	365	6,031,307	2,691	982,219	5,049,088
3	FY 27	365	5,049,088	2,368	864,353	4,184,736
4	FY 28	366	4,184,736	2,084	762,714	3,422,022
5	FY 29	365	3,422,022	1,834	669,355	2,752,667
6	FY 30	365	2,752,667	1,614	589,032	2,163,635
7	FY 31	365	2,163,635	1,420	518,348	1,645,287
8	FY 32	366	1,645,287	1,250	457,396	1,187,890
9	FY 33	365	1,187,890	1,100	401,409	786,482
10	FY 34	365	786,482	968	353,240	433,242
11	FY 35	365	433,242	852	310,851	122,391
12	FY 36	366	122,391	749	122,391	-
13	FY 37	365	-	660	0	-
Subtotal:					**7,147,465**	
Remainder:					0	
Total:					**7,147,465**	

Appendix 12: Production and Drilling Assumptions

Proved Developed Reserve Assumptions:		
PD Reserves (Net of WI and Royalties):	Mmcfe	7,147,465.00
Current PDP Daily Production:	Mmcfe / d	3,475.00
Proved Developed Production Decline Rate:	%	12%
Estimated Reserve Life Ratio:	# Years	11.7

Proved Undeveloped (PUD) Well Assumptions:		
PUD Reserves (Net of WI and Royalties):	Mmcfe	7,743,558.00
Average EUR per Well:	Mmcfe	10,000.00
Potential Future Locations (Net):	# Wells	774.00

Appendix 13: Price Deck

Price Deck:	Period:	Selected:	Low	Mid	High
Natural Gas Prices:	Year 1	$4.85	$3.63	$4.85	$6.06
	Year 2	$4.58	$3.44	$4.58	$5.73
	Year 3	$5.09	$3.82	$5.09	$6.36
	Year 4	$4.94	$3.70	$4.94	$6.17
	Year 5	$4.80	$3.60	$4.80	$6.00
	Long-Term	$4.25	$3.50	$4.25	$5.00
Natural Gas Liquids (NGLs):	Year 1	$38.00	$28.50	$38.00	$47.50
	Year 2	$40.00	$30.00	$40.00	$50.00
	Year 3	$42.00	$31.50	$42.00	$52.50
	Year 4	$43.00	$32.25	$43.00	$53.75
	Year 5	$44.00	$33.00	$44.00	$55.00
	Long-Term	$45.00	$33.75	$45.00	$56.25
Oil:	Year 1	$95.00	$71.25	$95.00	$118.75
	Year 2	$90.80	$68.10	$90.80	$113.50
	Year 3	$87.91	$65.93	$87.91	$109.89
	Year 4	$86.25	$64.69	$86.25	$107.81
	Year 5	$85.15	$63.86	$85.15	$106.43
	Long-Term	$95.00	$90.00	$95.00	$100.00

Expense Assumptions:	Period:	Production Taxes:	Lease OpEx:	Transport. & Processing:

Appendix 14: NAV per Share – Sensitivity Tables

	Commodity Price Case:		
	Low	Mid	High
14.00%	$40.37	$65.44	$90.40
13.00%	40.65	65.95	91.14
12.00%	**40.86**	**66.38**	**91.78**
3.20%	41.07	66.8	92.43
2.20%	41.27	67.23	93.08

Proved Developed Production Decline Rate:

	Commodity Price Case:		
	Low	Mid	High
30,000	$48.68	$74.83	$100.91
25,000	47.03	73.04	98.98
20,000	44.69	70.54	96.34
10,000	**40.86**	**66.38**	**91.78**
5,000	33.56	58.45	83.19

Average EUR per PUD Well (Mmcfe):

	Commodity Price Case:		
	Low	Mid	High
5.4	$46.83	$75.19	$103.40
4.4	44.26	71.32	98.26
3.4	**40.86**	**66.38**	**91.78**
2.4	36.54	60.23	83.84
1.4	32.02	53.84	75.59

Average 12-Month IP Rate per PUD Well (Mmcfe / d):

	Commodity Price Case:		
	Low	Mid	High
$12.25	$38.06	$63.59	$89.00
11.25	39.46	64.98	90.4
10.25	**40.86**	**66.38**	**91.79**
9.25	42.26	67.77	93.18
8.25	43.66	69.17	94.57

Average Initial D&C Cost per Well ($M):

Appendix 15: Relative Valuation

Relative Valuation					EV/EBITDA		EV/BOE/D	
$ in millions (CAD)								
Company Name	Ticker	Weight	Enterprise Value		EBITDA FY2026	EV/EBITDA FY2026	Daily Production (boe/d) FY2026	EV/boe/d
ARC Resources Ltd	ARX	30%	$ 17,284	$	3,541.50	4.88	413.20	41.83
Peyto Exploration & Development Corp	PEY	20%	$ 5,621	$	1,140.80	4.93	144.20	38.98
EQT Corp (US)	EQT	20%	$ 60,527	$	9,410.47	6.43	1014.72	59.65
Antero Resources Corporation (US)	AR	15%	$ 18,675	$	3,508.44	5.32	570.20	32.75
Range Resources (US)	RRC	10%	$ 12,937	$	2,261.42	5.72	402.10	32.17
Comstock Resources (US)	CRK	5%	$ 13,448	$	1,882.01	7.15	228.50	58.85
Comparable Set	**Average**		**$ 23,182**		**4,019.21**	**5.46**	**492.91**	**43.35**
Comparable Set	**Median**		**$ 15,366**		**2,884.93**	**5.32**	**407.65**	**40.40**
Tourmaline Oil Corp	**TOU**		**$ 24,054**		**4,322.40**	**5.57**	**639.00**	**37.64**

Valuation Method - EV/boe/d Median		
Implied EV		25,817.97
Net Debt		1,304
Diluted Shares Outstanding		387
Equity Value		24,514
Implied Share Price	**$**	**63.34**
Current Share Price	**$**	**58.35**
Upside/Discount		**8.56%**

Appendix 16: References

About Us. (n.d.). Retrieved from Tourmaline : https://www.tourmalineoil.com/about-us/strategy

AECO-C Price . (2025, Jun). Retrieved from Alberta Energy Regulator: https://www.aer.ca/data-and-performance-reports/statistical-reports/alberta-energy-outlook-st98/prices-and-capital-expenditure/natural-gas-prices/aeco-c-price

ARC Resources Ltd. (2023, February 10). 2023 ESG performance update. https://www.responsibilityreports.com/Company/arc-resources-limited

Canada Gazette, Part I, Volume 158, Number 45: Oil and Gas Sector Greenhouse Gas Emissions Cap Regulations. (2024, Nov 9). Retrieved from Government of Canada: https://gazette.gc.ca/rp-pr/p1/2024/2024-11-09/html/reg1-eng.html

Canadian liquified natural gas projects . (2025, Jan 7). Retrieved from Government of Canada: https://natural-resources.canada.ca/energy-sources/fossil-fuels/canadian-liquified-natural-gas-projects

Casey, J. (2025, Aug 1). *Uniper and Tourmaline sign long-term natural gas supply agreement* . Retrieved from LNG Industry: https://www.lngindustry.com/liquid-natural-gas/01082025/uniper-and-tourmaline-sign-long-term-natural-gas-supply-agreement/

CAT net zero target evaluations . (2025, Oct 27). Retrieved from Climate Action Tracker: https://climateactiontracker.org/global/cat-net-zero-target-evaluations/

Earnings call transcript: Tourmaline Oil Q3 2025 misses EPS forecasts . (2025, Nov 6). Retrieved from Investing.com: https://ca.investing.com/news/transcripts/earnings-call-transcript-tourmaline-oil-q3-2025-misses-eps-forecasts-93CH-4297708

Eddy, N. (2025, Oct 30). *Canada Emerges as Global Data Center Powerhouse* . Retrieved from Data Center Knowledge: https://www.datacenterknowledge.com/data-center-site-selection/canada-emerges-as-global-data-center-powerhouse

Energy supply for AI . (n.d.). Retrieved from International Energy Agency: https://www.iea.org/reports/energy-and-ai/energy-supply-for-ai

Financial Reports. (2025, Mar 5). Retrieved from Tourmaline: https://tourmaline.cdn.prismic.io/tourmaline/Z8jBcBsAHJWomKQx_FinalQ42024MDAFinancialStatements.pdf

Financial Reports. (2025, Nov 5). Retrieved from Tourmaline: https://tourmaline.cdn.prismic.io/tourmaline/aQvKdbpReVYa4G6V_FinalQ32025TourmalineMDAFinancialStatements.pdf

Gessel, J. (2025, April 15). *Tourmaline Oil: Canada's Play on Global Natural Gas Arbitrage* . Retrieved from Energess Resources: https://energessresources.substack.com/p/tourmaline-oil-canadas-play-on-global

Ghosh, S., & Freire-Gibb, C. (2025, Jun). *How Canada Can Turn a Geopolitical Energy Crisis into an Opportunity*. Retrieved from Canadian Science Policy Centre: https://sciencepolicy.ca/posts/how-canada-can-turn-a-geopolitical-energy-crisis-into-an-opportunity/#:~:text=By%202021%2C%20as%20the%20world,a%20global%20supplier%20for%20decades

Herchen, L., & Wang, Y. (2025, Jul 11). *July 2025 Energy Market Overview: Volatility & Resilience*. Retrieved from BOE Report: https://boereport.com/2025/07/11/july-2025-energy-market-overview-volatility-resilience/

Hidayat, M. (2025, Sep 27). *Record-Low Canadian Natural Gas Prices Hit Historical Lows*. Retrieved from Discovery Alert: https://discoveryalert.com.au/canadian-natural-gas-prices-historic-lows-2025/

India's natural gas demand set for 60% rise by 2030, supported by upcoming global LNG supply wave . (2025, Feb 12). Retrieved from Internaional Energy Agency: https://www.iea.org/news/indias-natural-gas-demand-set-for-60-rise-by-2030-supported-by-upcoming-global-lng-supply-wave

International Energy Agency. (2025, November 12). *World Energy Outlook 2025*. https://www.iea.org/reports/world-energy-outlook-2025

Lagerquist, J. (2025, July 8). *Canada's gas market 'about to turn the corner,' say analysts eyeing up to 7 years of excess demand* . Retrieved from Yahoo Finance: https://ca.finance.yahoo.com/news/canadas-gas-market-about-to-turn-the-corner-say-analysts-eyeing-up-to-7-years-of-excess-demand-110015536.html

Media, E. (2025, Feb 5). *Shell Expects 60% Rise in Global LNG Demand by 2040 as Asia Leads Growth*. Retrieved from EnergyNow: https://energynow.ca/2025/02/shell-expects-60-rise-in-global-lng-demand-by-2040-as-asia-leads-growth/

Oil and Natural Gas in Canada . (n.d.). Retrieved from CAPP: https://www.capp.ca/en/oil-natural-gas-you/oil-natural-gas-canada/

phinds. (2025, Dec 4). *Tourmaline's Peace River High Sale: Why Canada's Top Gas Producer is Divesting a Premier Oil Asset* . Retrieved from Oil Gas Leads: https://oilgasleads.com/tourmalines-peace-river-high-sale-why-canadas-top-gas-producer-is-divesting-a-premier-oil-asset/

Paramount Resources Ltd. (2025, August). 2025 ESG report. https://www.paramountres.com/content/uploads/2025/08/POU-2025-ESG-Report.pdf

Roadmap for the Decarbonization of Canada's Oil and Gas Sector . (2025, Jul 2). Retrieved from Government of Canada: https://natural-resources.canada.ca/climate-change/roadmap-decarbonization-canada-s-oil-gas-sector

Simmons, M. (2025, Feb 3). *Here's how 2025 is shaping up to be a big year for LNG in B.C.* . Retrieved from Vancouver Sun: https://vancouversun.com/news/heres-how-2025-is-shaping-up-to-be-a-big-year-for-lng-in-bc

Tourmaline Oil Corp. (2024). 2024 Sustainability report. https://sustainability.tourmalineoil.com/

Tourmaline Delivers Strong Liquids Growth in the Third Quarter, Declares Special Dividend, Updates Cost Saving Initiatives, Announces New Gas Storage Access in Alberta and LNG Contracts . (2025, Nov 5). Retrieved from BOE Report: https://boereport.com/2025/11/05/tourmaline-delivers-strong-liquids-growth-in-the-third-quarter-declares-special-dividend-updates-cost-saving-initiatives-announces-new-gas-storage-access-in-alberta-and-lng-contracts/

Tourmaline Oil May 2025 slides: Canada's top gas producer targets growth and dividends . (2025, Aug 5). Retrieved from Investing.com: https://www.investing.com/news/company-news/tourmaline-oil-may-2025-slides-canadas-top-gas-producer-targets-growth-and-dividends-93CH-4032209

Venkatachalam, V., & Milke, M. (2021, Feb 1). *MIA – $130 billion: The global LNG trade and Canada's missed opportunities*. Retrieved from Canadian Energy Centre: https://www.canadianenergycentre.ca/mia-130-billion-the-global-lng-trade-and-canadas-missed-opportunities/

Young, J. (2025, Oct 16). *North America's LNG export capacity could more than double by 2029*. Retrieved from EIA: https://www.eia.gov/todayinenergy/detail.php?id=66384

Bloomberg L.P. (2025). *Bloomberg Terminal* [Database]